

- You spend more than you earn and you don't want to give up the '*All channel subscription*' on your Dish.
- You only invest in a Bank RD/ FD or a PPF and hope to save enough for retirement.
- You activate 50GB WiFi at your home when you barely use 10GB to check mail and WhatsApp.

The cure: Pore through your receipts and review credit card statements for ways to cut down spending.

5. Sunk-cost mistakes

The best example is if you've been stuck in a toxic relationship, you've dealt with sunk-cost. You invest your time and resources and despite it going south, you refuse to give up. They occur in your daily life in various forms:

- You go to the bazaar to buy an ear accessory whereupon you don't like anything there. You still end up with another needless jean, a Bluetooth headset and a powerbank because you made the trip.
- **My favourite:** Choose a wrong colour of paint. Brush half the bedroom, don't like it. Instead of choosing a fresh selection, I go to Asian Paints and buy another litre to finish the room thereby justifying the first purchase. Finally, dislike the output, go to Pepperfry and buy stickers for ₹ 600 to cover the whole wall.

The key to negate it is to find the trigger (or 'cue' like Charles Duhigg in 'Power of Habit' calls it) when you decide.

An example looks like, "*I have already spent 8000 on the paint, I might as well spend another 8000 on something that I'd would hate looking at.*" When you frame it like that, your initial purchase will be taken as sunk-cost and you'll move on.

Little babies of this cognitive bias are:

- **Avoidance:** Holding onto a loser stock. "*I couldn't have made this bad decision. So, I can't get out at this price.*"